Dolph Research

EQUITY RESEARCH NOTE March 10, 2026

NVIDIA CORP

Revenue	Net Income
$216B	$120B
65.5%	64.7%

Operating Margin	Free Cash Flow
60.4%	$96.7B
-3.3%	58.9%

Executive Summary

NVDA — Current period: 2026-01-25 | Prior period: 2025-01-26

NVDA closes 2026-01-25 with $216B of revenue (65.5% YoY) and $120B of net income (64.7% YoY). The period ended with an operating margin of 60.4% and a net margin of 55.6%, which frames how much of the reported scale translated into retained profitability. Revenue growth outpaced margin retention, so earnings improved without the same degree of operating efficiency.
Operating cash flow reached $103B (60.3% YoY), and after $6.04B of capital spending the business produced $96.7B of free cash flow (58.9% YoY). Capital spending absorbed 2.8% of revenue, which helps frame how much internal cash flow remained available after reinvestment.

Liquidity and leverage are both relatively manageable, with a current ratio of 3.91x and debt-to-equity of 0.06x. The quick ratio of 3.24x sits below the current ratio, indicating that inventory or other less-liquid current assets carry part of the coverage burden.

Snapshot Scorecard

Metric	Current	Prior	Change
Revenue	$216B	$130B	65.5%
Net Income	$120B	$72.9B	64.7%
Operating Margin	60.4%	62.4%	-3.3%
Debt-to-Equity	0.06x	0.11x	-43.6%
Current Ratio	3.91x	4.44x	-12.0%
Free Cash Flow	$96.7B	$60.9B	58.9%

Revenue
$216B

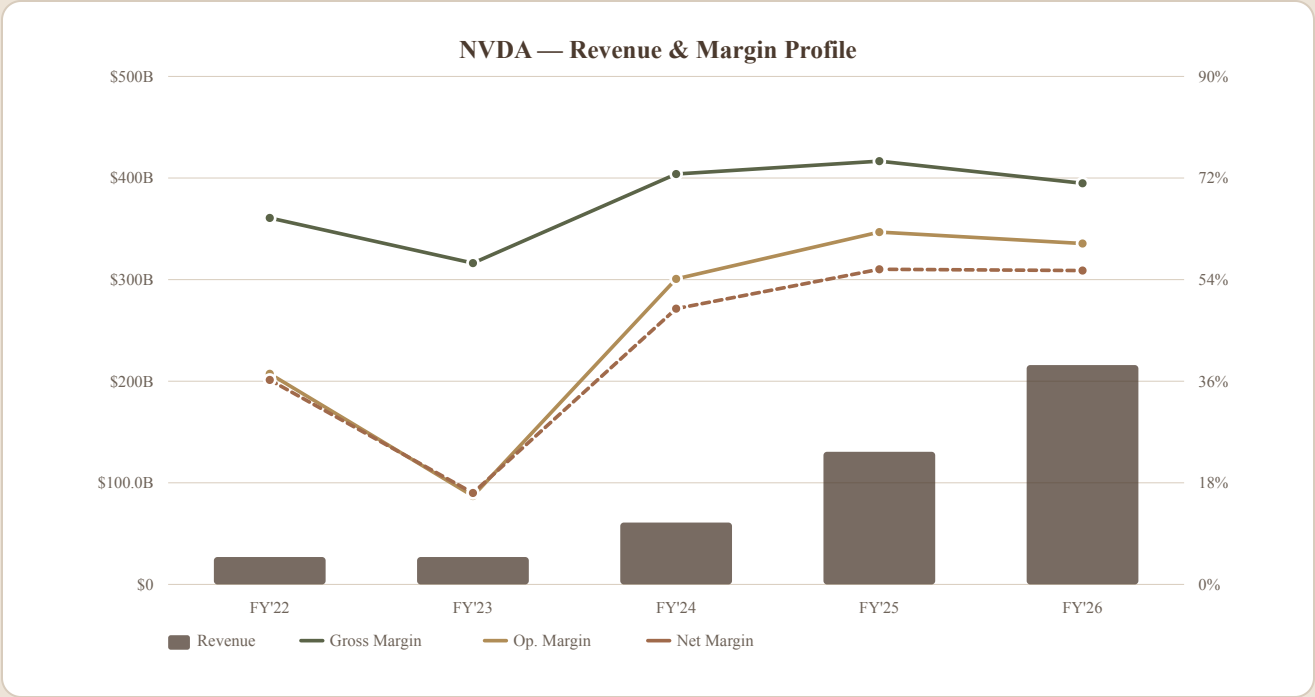
Net Income
$120B

Operating Margin
60.4%

Free Cash Flow
$96.7B

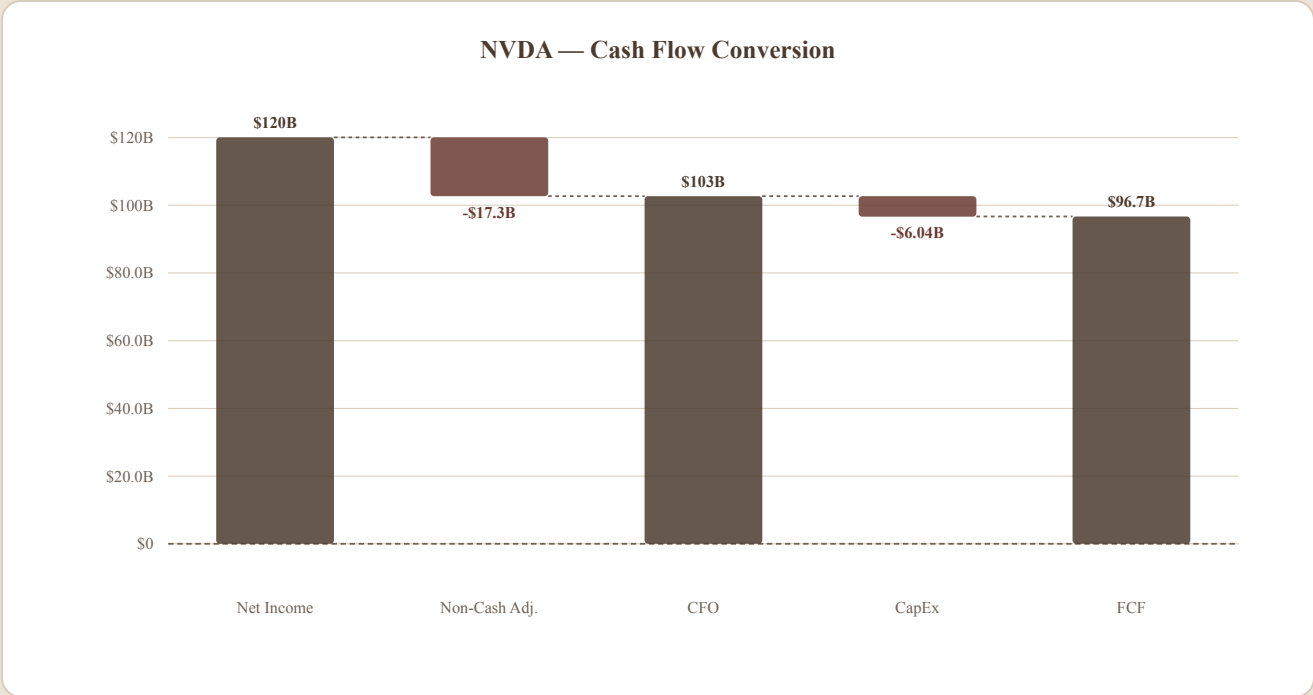
Visual Highlights

NVDA — Current period: 2026-01-25 | Prior period: 2025-01-26



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.



Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Key Metrics Dashboard

NVDA — Current period: 2026-01-25 | Prior period: 2025-01-26

Profitability

Metric	Current Value	Prior Period	Change (%)
Gross Profit	$153B	$97.9B	56.8%
Return on Equity	101.5%	119.2%	-14.8%
Return on Assets	75.4%	82.2%	-8.2%
Gross Margin	71.1%	75.0%	-5.2%
Operating Margin	60.4%	62.4%	-3.3%
Net Margin	55.6%	55.8%	-0.4%
Earnings Per Share (Diluted)	$4.90	$2.94	66.7%

Liquidity & Leverage (1/2)

Metric	Current Value	Prior Period	Change (%)
Current Assets	$126B	$80.1B	56.8%
Current Liabilities	$32.2B	$18.0B	78.2%
Cash & Equivalents	$10.6B	$8.59B	23.5%
Cash, Cash Equivalents & Restricted Cash	Not reported	Not reported	Not reported
Restricted Cash	Not reported	Not reported	Not reported
Cash, Cash Equivalents & Short-Term Investments	Not reported	Not reported	Not reported
Short-Term Investments	Not reported	Not reported	Not reported

Liquidity & Leverage (2/2)

Metric	Current Value	Prior Period	Change (%)
Marketable Securities	Not reported	$34.6B	Not reported
Long-Term Debt	$8.47B	$8.46B	0.1%
Short-Term Debt	$999M	$0	N/A
Total Debt	$9.47B	$8.46B	11.9%
Current Ratio	3.91x	4.44x	-12.0%
Debt-to-Equity	0.06x	0.11x	-43.6%

Key Metrics Dashboard (Cont.)

NVDA — Current period: 2026-01-25 | Prior period: 2025-01-26

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$216B	$130B	65.5%
Gross Profit	$153B	$97.9B	56.8%
Operating Income	$130B	$81.5B	60.1%
Net Income	$120B	$72.9B	64.7%
Total Assets	$207B	$112B	85.3%
Total Liabilities	$49.5B	$32.3B	53.4%
Stockholders' Equity	$157B	$79.3B	98.3%

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	$103B	$64.1B	60.3%
Cash at End of Period (cash-flow statement)	$10.6B	$8.59B	23.5%
Capital Expenditures	-$6.04B	-$3.24B	86.7%
Free Cash Flow	$96.7B	$60.9B	58.9%

Commentary

NVDA — Current period: 2026-01-25 | Prior period: 2025-01-26

What stands out

Free_cash_flow is the clearest multi-period driver in the locked annual history, with the latest value at $96.7B and a 85.7% compound annual growth rate. The scale-up across the observed annual periods is pronounced and financially material. The main trend relationship is therefore one of scale improving faster than margin retention.

The scale-up across the observed annual periods is pronounced and financially material. Cash generation remained constructive, with $103B of operating cash flow translating into $96.7B of free cash flow. Balance-sheet pressure should be read through both leverage (0.06x debt-to-equity) and liquidity (3.91x current ratio), because the two are not pointing to the same conclusion in every issuer.

Watch items

The most important risks in the current numbers are concentrated in the areas where profitability, cash generation, or balance-sheet support are not moving together. Current period is missing Marketable Securities while prior exists.

Analyst interpretation

The most constructive part of NVDA's profile is that gross margin of 71.1% reflects significant value capture, consistent with asset-light or ip-intensive business models. ROE of 101.5% is well above the 15% institutional threshold, suggesting strong capital allocation. That matters because leverage (0.06x debt-to-equity), liquidity (3.91x current ratio), and free cash flow ($96.7B) need to be read together rather than in isolation.

Analysis is anchored to the annual period ending 2026-01-25, with the prior period set at 2025-01-26. Metrics without the required statement support remain intentionally blank rather than estimated, so the report should be read as a filing-backed analytical note rather than as a gap-filled model.

Appendix

NVDA — Current period: 2026-01-25 | Prior period: 2025-01-26

Appendix A — NVDA Income Statement

Metric	FY2026 (Jan)	FY2025 (Jan)
Revenue	$216B	$130B
Cost of Revenue	$62.5B	$32.6B
Gross Profit	$153B	$97.9B
Operating Expenses	$23.1B	$16.4B
Operating Income	$130B	$81.5B
Net Income	$120B	$72.9B
EPS (Basic)	$4.93	$2.97
EPS (Diluted)	$4.90	$2.94
Weighted Avg Shares (Diluted)	24.5B	24.8B
R&D Expenses	$18.5B	$12.9B
SG&A Expenses	$4.58B	$3.49B
Pretax Income	$141B	$84.0B
Income Tax Expense	$21.4B	$11.1B

Appendix B — NVDA Balance Sheet (Part 1/2)

Metric	FY2026 (Jan)	FY2025 (Jan)
Shares Outstanding	24.3B	24.5B
Total Assets	$207B	$112B
Total Liabilities	$49.5B	$32.3B
Total Stockholders' Equity	$157B	$79.3B
Current Assets	$126B	$80.1B
Current Liabilities	$32.2B	$18.0B
Cash & Equivalents	$10.6B	$8.59B
Total Debt (derived)	$9.47B	$8.46B
Long-Term Debt	$8.47B	$8.46B
Short-Term Debt	$999M	$0

Appendix (Cont.)

NVDA — Current period: 2026-01-25 | Prior period: 2025-01-26

Appendix B — NVDA Balance Sheet (Part 2/2)

Metric	FY2026 (Jan)	FY2025 (Jan)
Inventory	$21.4B	$10.1B
Accounts Receivable	$38.5B	$23.1B
Marketable Securities	Not reported	$34.6B
Other Current Assets	$3.18B	$3.77B
Accounts Payable	$9.81B	$6.31B
Accrued Expenses	$21.4B	$11.7B
Retained Earnings	$147B	$68.0B
AOCI	$178M	$28M
Goodwill	$20.8B	$5.19B

Appendix C — NVDA Cash Flow Statement

Metric	FY2026 (Jan)	FY2025 (Jan)
Operating Cash Flow	$103B	$64.1B
Capital Expenditures	-$6.04B	-$3.24B
Investing Cash Flow	-$52.2B	-$20.4B
Financing Cash Flow	-$48.5B	-$42.4B
Dividends Paid	-$974M	-$834M
Share Repurchases	-$40.1B	-$33.7B
Depreciation & Amortization	$2.84B	$1.86B
Depreciation	$2.40B	$1.30B
Amortization of Intangibles	$488M	$593M
Debt Repayment	$0	-$1.25B
Net Change in Cash	$2.02B	$1.31B
Cash at End of Period (cash-flow statement)	$10.6B	$8.59B

Data Sources & Notes

Ticker	CIK	Accession	Form	Filed	Primary Document
NVDA	0001045810	0001045810-26-000021	10-K	2026-02-25	https://www.sec.gov/Archives/edgar/data/1045810/000104581026000021/nvda-20260125.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Standalone metrics are locked to the selected annual current/prior basis for the issuer.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-10.

Disclaimer: For research use only; not investment advice.